

Bazaro — a wholesale marketplace for independent retailers

The Problem

An independent homeware shop buys its stock from between fifteen and forty suppliers, most of them by phone or by a PDF catalogue emailed twice a year. Minimum order quantities are set for department stores, payment terms are net thirty if the supplier knows you and prepayment if it does not, and there is no way to discover a brand that does not already sell in your region.

On the other side, a small manufacturer wanting to reach 400 independent shops has no route to them that does not involve a sales agent and a car.

Our Solution

Bazaro is a wholesale marketplace connecting independent retailers to brands, with the ordering, payment terms and logistics handled in one place.

A retailer browses 3,100 brands, orders across all of them in one basket, and receives net-sixty terms underwritten by us rather than by each supplier. A brand lists once and reaches every retailer on the platform, with the credit risk taken off its balance sheet.

We do not hold inventory. Brands ship directly.

The Market

Independent retail in Europe is a fragmented, enormous market. Wholesale purchasing by independent shops in our categories is estimated at €180B a year, almost all of it transacted offline.

Our categories today are homeware, stationery, and food and drink gifting.

Competition

One large international wholesale marketplace operates in our categories and is considerably ahead of us in brand count. Several regional players operate in single countries.

Our position is payment terms — we underwrite net sixty from the first order, where the incumbent requires a trading history.

The Team

Camille Roux worked in buying at a retail group for four years. Stefan Knapp was an engineering lead at an e-commerce company.

Forty-three people.

Traction

The headline numbers first.

- €41M in gross merchandise value over the last twelve months, up 2.4x year on year
- 9,400 active retailers, up from 3,900
- 3,100 brands listed
- average order value €680
- 62% of retailers order again within ninety days
- €4.8M of GMV in our strongest month, which was November

Growth has been consistent for seven quarters and the marketplace dynamics are working: brands attract retailers, retailers attract brands, and our cost of acquiring a retailer has fallen 40% as the brand count has grown.

Business Model

We charge brands a commission on each order. Our take rate is 6.4%, blended across categories, and it has been stable.

Retailers pay nothing. Payment terms are financed through a receivables facility at a cost we absorb.

Gross margin on commission revenue is 58% after payment processing, credit losses at 1.9% of financed volume, and the cost of the facility.

Our team of fourteen in brand operations is what keeps the catalogue quality high, and it is the cost line that grows with brand count.

Go-To-Market

Brand acquisition through trade shows and direct outreach; retailer acquisition through paid search and a referral programme.

Funding

We are raising €20M to expand into two further categories, grow the brand catalogue, and increase the receivables facility so that payment terms are not the thing that limits order size.